



Recession to depression

A sustained period of deep recession is known as a depression. During this time a country's GDP falls for repeated consecutive months by up to 10 percent and unemployment levels soar.



Case study: The Great Depression, 1929–41

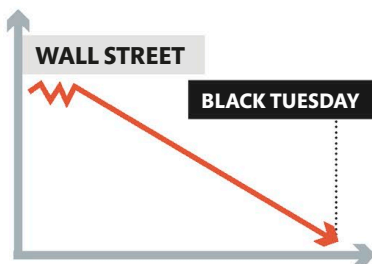
The worst economic crisis of the 20th century, economists still debate what caused the Great Depression, how it spread around the world, and why recovery took so long.



1. Prosperity in the US during the “Roaring Twenties” leads to overconfidence and reckless investment. Thousands of ordinary Americans buy stocks and the increasing demand for shares inflates their value.



2. By late 1929 there are signs the US economy is in trouble: unemployment is rising, consumer spending is declining, and farms are failing. But still confident of getting rich quick, some people continue to invest.



3. Over six days in October 1929, shares on Wall Street's New York Stock Exchange crash. In total \$25 billion is lost, and with it people's confidence in the stock market. Many investors go bankrupt, banks lose money, and trade collapses.

4. There are a series of runs on the banks, as shaken customers want to hold on to all their cash (*see right*). Many banks lose their reserves and by 1933 more than half have shut. Banks contract their loans, and the deposits they create, further reducing the US money supply.



5. Loss of confidence, less money, and increased borrowing costs result in reduced spending and demand for goods. Manufacturing slows, workers are laid off, and wages are lowered, further reducing spending power.

